

AVERAGING DOWN

When the market started falling, he accumulated more Russian bonds, at an average of around \$52. That was Carlos's trait, average down. The problems, he deemed, had nothing to do with Russia, and it was not some New Jersey fund run by some mad scientist that was going to decide the fate of Russia. "Read my lips: It's a li-qui-da-tion!" he yelled at those who questioned his buying.

By the end of June, his trading revenues for 1998 had dropped from up \$60 million to up \$20 million. That made him angry. But he calculated that should the market rise back to the pre-New Jersey sell-off, then he would be up \$100 million. That was unavoidable, he asserted. These bonds, he said, would never, ever trade below \$48. He was risking so little, to possibly make so much.

Then came July. The market dropped a bit more. The benchmark Russian bond was now at \$43. His positions were under water, but he increased his stakes. By now he was down \$30 million for the year. His bosses were starting to become nervous, but he kept telling them that, after all, Russia would not go under. He repeated the cliché that it was too big to fail. He estimated that bailing them out would cost so little and would benefit the world economy so much that it did not make sense to liquidate his inventory now. "This is the time to buy, not to sell", he said repeatedly. "These bonds are trading very close to their possible default value". In other words, should Russia go into default, and run out of dollars to pay the interest on its debt, these bonds would hardly budge. Where did he get this idea? From discussions with other traders and emerging market economists (or trader-economist hybrids). Carlos put about half his net worth, then \$5,000,000, in the Russia Principal Bond. "I will retire on these profits"; he told the stockbroker who executed the trade.

LINES IN THE SAND

The market kept going through the lines in the sand. By early August, they were trading in the 30s. By the middle of August, they were in the 20s. And he was taking no action. He felt that the price on the screen was quite irrelevant in his business of buying "value".

Signs of battle fatigue were starting to show in his behavior. Carlos was getting jumpy and losing some of his composure. He yelled at someone in a meeting: "stop losses are for schmucks! I am not going to buy high and sell low!" During his string of successes he had learned to put down and berate traders of the non-emerging market variety. "Had we gotten out in October 1997 after our heavy loss we would not have had those excellent 1997 results", he was also known to repeat. He also told management: "these bonds trade at very depressed levels. Those who can invest now in these markets would realize wonderful returns". Every morning, Carlos spent an hour discussing the situation with market economists around the globe. They all seemed to present a similar story: this sell-off is overdone.

Carlos's desk experienced losses in other emerging markets as well. He also lost money in the domestic Russian Ruble Bond market. His losses were mounting, but he kept telling his management rumors about very large losses among other banks – larger than his. He felt justified to show that "he fared well relative to the industry". This is a symptom of systemic troubles; it shows that there was an entire community of traders who were conducting the exact same activity. Such statements, that other traders had also gotten into trouble, are self-incriminating. A trader's mental construction should direct him to do precisely *what other people do not do*.

Towards the end of August, the bellwether Russia Principal Bonds were trading below \$10. Carlos's net worth was reduced by almost half. He was dismissed. So was his boss, the head of trading. The president of the bank was demoted to a "newly created position". Board members could not understand why the bank had so much exposure to a government that was not paying its own employees – which, disturbingly, included armed soldiers. This was one of the small points that emerging market economists around the globe, from talking to each other so much, forgot to take into account. Veteran trader Marty O'Connell calls this the firehouse effect. He had observed that firemen with much downtime who talk to each other for too long come to agree on many things that an outside, impartial observer, would find ludicrous (they develop political ideas that are very similar). Psychologists give it a fancier name, but my friend Marty has no training in clinical psychology.